

Standard Chartered

4Q was weak

Earnings Review

A faltering performance

Standard Chartered gave a disappointingly faltering performance in 4Q25 in our view. Net income was \$1bn and missed estimates. The numbers were characterised by a weak revenue outcome, especially from Markets income but not only, much higher costs but lower provisions in spite of a small rise in non-performers. The bank announced another share buyback of \$1.5bn which will hit capital and changed the basis of its guidance to reported (statutory) numbers which suits us as that is how we have always looked at Standard's reports. We'd see this report as negative for STANLN spreads today.

Revenues were down, costs higher

Other income was \$3.4bn in 4Q, down -8.5% qoq. Markets income was much lower sequentially – for example Macro revenue came in at \$499m, -26% qoq with the Credit business -24% qoq at \$138m. But inconsistent outcomes from the trading room are not necessarily a surprise, even if value-at-risk in 2025 versus the prior year was higher. We note better sequential net interest income (on much lower interest expense in 4Q), though NIM fell to 2.09%, -12bps yoy. Wealth, supposedly the new engine of revenue growth for the firm, had a much weaker quarter, with its stated ROE halving to 17.4% (3Q25: 35.6%). The cost-income ratio deteriorated sharply (we have 74% including some restructuring costs) – somewhat seasonal but also reflecting higher compensation costs.

NPLs tick up, CET1 ticks down on buy back

We note the \$148m provisioning charge, 20bps of loans, still low. There was a slight uptick in NPLs this quarter however, now at 2.1% of loans or just under \$6bn, although early warning indicators remain stable to better. We note the new share buyback of \$1.5bn which will reduce the stated CET1 ratio to 13.4% from the stated 14.1%. The bank is promising a 12% ROE this year. In terms of its funding plan for 2026, the bank guides there will be MREL issuance of \$9bn with focus on Holdco senior of which around \$4bn has already been issued, including \$0.6bn AT1bn.

24 February 2026

High Grade Credit
United Kingdom
Banks

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Valuation & risk

StanChart (STANLN)

High dependence on Markets income, in spite of positioning in some of the world's highest growth regions make us comparatively less enthusiastic on StanChart, together with its above-average exposure to tariff-hit Asian countries. We think bonds should trade quite wide when compared to UK peers. We are UW the \$5.005% '30 sr holdco. The \$4.644% is by no means expensive whereas the subs can seem tight to senior holdcos, in our view. The \$7.014% legacy T1s lack a Capital Disqualification Event clause which could allow early redemption but the bank considers they are the equivalent of Tier 2 for life, which is why it did not take the opportunity of low cash prices in 2023 to buy back these securities. Opco CDS levels look fair though we note the increase in opco issuance in the group which should have a bearing on levels.

We see downside risks from the uncertainty emanating from volatile markets income dependency, and exposures to emerging markets under pressure from volatile USD. China CRE, HK asset quality not out of the woods. Risk to the upside stems from less near term pressure than expected on the bank's core earnings.

Analyst Certification

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Security/Loan pricing

Standard Chartered / STANLN

Security	Amt	Maturity date	Ratings Moody's/S&P/Fitch	Price	Price date	Yield (%)	Spread (Govt+bps)
Subordinated, EUR, Y5:CDS					21-Feb-2026		93
Senior Unsecured, EUR, Y5:CDS					21-Feb-2026		47
7.014, Tier1, USD, Perp/2049:B	750	30-DEC-2049	Ba1/BBB-/BBB-	106.09	23-Feb-2026	5.82	112
4.75,, USD, Perp/2049:B	1,250	31-DEC-2049	Ba1/BB+/BBB-	95.38	23-Feb-2026	5.76	212
3.265,, USD, 2036:B	1,250	18-FEB-2036	Baa2/BBB/BBB+	93.58	23-Feb-2026	4.73	113
SLA, EUR, Y5:CDS					03-Oct-2025		76
4.3,, USD, 2027:B	1,250	19-FEB-2027	Baa2/BBB/BBB+	100.12	23-Feb-2026	4.17	61
7.75,, USD, Perp/2049:B	1,250	31-DEC-2049	Ba1/BB+/BBB-	103.88	23-Feb-2026	4.99	149
4.644,, USD, 2031:B	2,000	01-APR-2031	A3/BBB+/A	101.33	23-Feb-2026	4.29	75
5.005, Senior, USD, 2030:B	1,500	15-OCT-2030	A3/BBB+/A	99.99	03-Oct-2025	5.01	122

For pricing information refer to "Other Important Disclosures" below.

B=Bond; L=Loan; CS=Capital Security (Not including Equity Preferred); CDS=Credit Default Swap; EP=Equity Preferred

Disclosures

Important Disclosures

Credit opinion history

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Security	Date ^{R1}	Action	Recommendation	Price
Subordinated, EUR, Y5:CDS	31-Jan-2025		Neutral	
Senior Unsecured, EUR, Y5:CDS	31-Jan-2025		Neutral	
7.014, Tier1, USD, Perp/2049:B	31-Jan-2025		Underweight	
4.75,, USD, Perp/2049:B	31-Jan-2025		Underweight	
3.265,, USD, 2036:B	31-Jan-2025		Underweight	
SLA, EUR, Y5:CDS	31-Jan-2025		Buy Protection	
4.3,, USD, 2027:B	31-Jan-2025		Underweight	
7.75,, USD, Perp/2049:B	31-Jan-2025		Underweight	
4.644,, USD, 2031:B	31-Jan-2025		Marketweight	
5.005, Senior, USD, 2030:B	11-Apr-2025	Initial	Underweight	98.22

Table reflects credit opinion history as of previous business day's close.^{R1} First date of recommendation within the last 36 months, if for an issuer or within the last 12 months, if for a security or loan. The investment opinion system is contained at the end of the report under the heading "BofA Global Research Credit Opinion Key."

Pricing information in the table is provided for each action where available. In the case of bonds, loans, capital securities and equity preferreds, the price shown reflects the nominal cash price for the security; and in the case of CDS, the price shown reflects the spread, on the date of the relevant action.

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Corporate Credit Issuer Investment Rating Distribution: Global Group (as of 31 Dec 2025)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R2}	Count	Percent
Buy	130	38.12%	Buy	106	81.54%
Hold	158	46.33%	Hold	134	84.81%
Sell	53	15.54%	Sell	46	86.79%

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